

# First Move Up

## Why the First Move Up works:

- An in-play stock can attract buying as short participants look to take profits
- We will wait for this buying to end or be met by sellers
- We will wait for the first red candle at a resistance level to indicate that the selling is starting to overwhelm buyers

## Entry Rules (inverted rules for the long side):

- Enter on a new 1-min low after the first red candle

## Stop Loss Rules:

- The stop should be placed one penny above the HOD
- We will give this trade two attempts as it can sometimes break the HOD and then get stuffed right after

## Exit Rules:

- This is a move2move trade so we will look for two legs
- We want to exit half into the first leg and sell the rest into the second leg

## Factors that increase the probability of this trade working:

- We want to see selling at a resistance level
- We will look for a quick move lower after our entry
- We want to see a drop through VWAP to show us continued selling pressure

## Factors that decrease the probability of this trade working:

- We do not want to see the initial buying break an important resistance level
- We do not want to see buying pressure after our entry
- We do not want to see VWAP act as support as this may indicate that there are institutions passively buying the stock

The ideal times of day to take this trade:

- Opening Auction (9:33 AM - 9:45 AM)

When do we avoid this trade entirely?:

- We will avoid this trade entirely if the buying is slow and controlled as this can oftentimes be indicative of a buying program

